

Tax Credits for Certain Housing and Renovations

Tax credits are direct reductions in the amount of taxes due. If you have a client who invests in renovating older buildings, or in low-income housing projects, (even if that investor is not an active participant in the management or operation of that building or project) that person may be able to use specially designated tax credits to offset the taxes on part of their other income. While there's a maximum income level on these credits, any kind of tax savings-especially in the form of a tax credit-is going to be welcome news to your investor clients

This brings us to the next tax credit, which has been available since 1976. It applies to those who renovate historic properties. People who renovate historic properties can take a tax credit on up to 20% of the money they spent to renovate the property. "Historic properties," however, doesn't mean Great-Aunt Fanny's '60s-era duplex, which has been overrun by her 14 felines and enough backdated issues of People magazine to fill a library. It means bona fide historic properties, as in those that have been given that designation by the U.S. Department of the Interior and are listed in the National Register of Historic Landmarks. It also applies to historically significant properties of that are located in a "historic district," as designated by the state.

A couple of additional restrictions apply:

- The property must be renovated in accordance with the federal historic property guidelines and certified by the U.S. Department of the Interior.
- Once renovated, the property may not be used as a private residence by the people who renovated it and took the tax credit, but it can be used as a place of business or a rental.